Since India commenced the process of economic reforms, a major shift has taken place in the country's policy-orientation towards poverty alleviation and employment generation – in place of *wage employment*, the focus has shifted to *self-employment* – so that 'gainful employment' could be created and poverty could be alleviated permanently.[3]

The Planning Commission estimates poverty using data from the large sample surveys on household consumer expenditure carried out by the National Sample Survey Office (NSSO) *every five years*. It ***defines*** poverty line on the basis of monthly per capita consumption expenditure (MPCE).

The methodology for estimation of poverty followed by the Planning Commission has been based on the recommendations made by experts in the field from time to time. The Expert Group headed by ***Prof. Suresh D. Tendulkar*** which submitted its report in December 2009 has computed the poverty lines at all India level as MPCE of Rs. 447 for rural areas and Rs. 579 for urban areas in 2004-05. After 2004-05, this survey has been conducted in 2009-10.

The Planning Commission has updated the poverty lines and poverty ratios for the year 2009-10 as per the recommendations of the Tendulkar Committee using NSS 66th Round (2009-10) data from the 'Household Consumer Expenditure Survey'. It has estimated the poverty lines at all India level as an MPCE of Rs. 673 for rural areas and Rs. 860 for urban areas in 2009-10. Based on these cut-offs, the percentage of people living below the poverty line in the country has declined from **37.2** per cent in 2004-05 to **29.8** per cent in 2009-10. Even in absolute terms, the number of poor people has fallen by 52.4 million during this period. Of this, 48.1 million are rural poor and 4.3 million are urban poor. Thus, poverty has *declined on an average by 1.5 percentage* points per year between 2004-05 and 2009-10. The annual average rate of decline during the period 2004-05 to 2009-10 is twice the rate of decline during the period 1993-94 to 2004-05.

Infant mortality rate (IMR) which was 58 per thousand in the year 2005 has fallen to 44 in the year 2011. The number of rural households provided toilet facilities annually have increased from 6.21 lakh in 2002-3 to 88 lakh in 2011-12. Similarly MPCE (at constant prices) has also increased from Rs. 558.78 and Rs. 1052.36 during 2004-5 to Rs. 707.24 and Rs. 1359.75 in